Ultimatum Day

Trump's 48-hour Hormuz deadline expires tonight as Asian markets trigger circuit breakers and Iran opens a financial warfare

MARKETS

The global week opened with a cascading Asian selloff that triggered circuit breakers in Seoul and sent Tokyo down nearly 5%. South Korea's Kospi plunged more than 6%, halting Kospi 200 futures trading—a mechanism last invoked during the August 2024 yen unwind. Japan's Nikkei 225 fell 5%, Hong Kong's Hang Seng shed 2.7%, and Taiwan's Taiex declined 2.2%. S&P; 500 futures are pointing to a gap-down open near 6,489, roughly 1.1% below Friday's close, testing the 200-day moving average. The catalyst: Trump's 48-hour ultimatum, which expires tonight at approximately 7:44 PM ET.

Brent crude climbed to approximately $114 in early Monday trading, extending Friday's war-era closing high of $112.19. The physical-versus-paper divergence continues to widen: Dubai crude above $150, Oman crude above $152, while WTI paper trades near $100. The IEA has characterized this as the largest supply disruption in the history of the global oil market. Goldman Sachs warned that Brent could exceed its all-time high near $147 if disruptions lengthen, and suggested elevated prices may persist through 2027. VLO, CVX, and OKE—IOWN's energy infrastructure names—continue to provide portfolio ballast. The energy sleeve thesis is being validated in real time.

After last week's 10.5% decline—the worst weekly drop in over a decade—gold opened Monday near $4,489, essentially flat from Friday's close. The stabilization is notable given continued geopolitical escalation. If the mechanical selling that drove last week's rout has exhausted, gold could begin to reflect its safe-haven fundamentals again. J.P. Morgan's Q4 target of $5,055 and Goldman's $5,400 year-end forecast remain in place. AEM and GFI could see relief if gold finds a floor here.

Bitcoin broke below $70,000 over the weekend, trading at $68,014 on Sunday. The crypto Fear & Greed index has been in extreme fear territory for 46 consecutive days. MARA fell 8.24% on Friday, HUT dropped 5.34%, and HOOD declined 4.41%. The digital asset sleeve faces potential gap-down risk at today's open. The medium-term regulatory backdrop remains constructive following the March 18 SEC-CFTC joint interpretation, but near-term technicals are challenging.

Friday's sector action reflected the war economy: financials (+0.18%) and energy (–0.08%) held, while utilities (–4.06%), real estate (–3.17%), and tech (–2.27%) absorbed the heaviest selling. UVXY surged 10.45%. The S&P; is now testing the lower boundary of its March descending channel, and a decisive break below the 200-day moving average could trigger algorithmic selling. Fear & Greed at 15—still deep in extreme fear, though slightly improved from Friday's 10.

> ***Circuit breakers in Seoul. Five percent down in Tokyo. The market is not waiting for 7:44 PM—it is pre-pricing escalation. If the deadline passes without resolution, the overnight session could be significantly more volatile than today's regular hours. Avoid Erosion—the cost of reacting to a binary event is higher than the cost of patience.***

GEOPOLITICS

Trump's 48-hour deadline for Iran to fully reopen the Strait of Hormuz expires tonight at approximately 7:44 PM ET—after the US equity close but before Asian markets open. Iran's response has been unambiguous: the IRGC stated that if the US strikes Iranian power plants, the strait will be completely closed and will not reopen until destroyed infrastructure is rebuilt. Iran has approximately 400 power plants, including the Bushehr nuclear facility. The contradiction at the core of this standoff: Iran is already operating a selective blockade, permitting ships from non-combatant nations through a coastal corridor. The definition of "fully open" is itself the negotiating space.

In a significant escalation beyond the military domain, Iranian Parliament Speaker Ghalibaf warned Sunday that financial entities purchasing US Treasurys—and thereby financing the US military budget—would be considered legitimate targets. While the operational capacity to act on this threat is unclear, the rhetoric introduces a new transmission mechanism for conflict risk. Gulf sovereign wealth funds hold hundreds of billions in US Treasurys. Even a marginal shift in demand could pressure the long end of the curve at a moment when the Fed is signaling no near-term easing. TLT fell 1.9% on Friday. The bond market is the second front to monitor tonight.

Israel launched new airstrikes on eastern Tehran on Sunday, extending the campaign that has now struck at least 29 of Iran's 31 provinces. The war death toll across the region has surpassed 2,300. Tehran residents described long queues for fuel, with authorities limiting purchases to 20 liters per car. The UN reports 3 million Iranians displaced, with at least 18 hospitals struck. Saudi Arabia expelled Iran's military attaché and four embassy staff—a notable shift from Riyadh's earlier neutral posture. British PM Starmer and Trump discussed the crisis Sunday evening. NATO Secretary

General Rutte expressed confidence the alliance could reopen the strait. The conflict now involves at least six countries' territory, and each new front extends the timeline for Hormuz normalization.

ON OUR RADAR

1. The session splits into two regimes: pre-deadline and post-deadline. Regular trading hours price the anticipation; the overnight session prices the outcome. If Trump follows through on strikes, Tehran has promised complete Hormuz closure and regional infrastructure retaliation—Brent could push toward $120+ with a significant gap-down in Tuesday's Asian open. If any partial resolution emerges—Iran formalizing selective access as a diplomatic concession, or Trump extending the deadline—the relief trade could be sharp. IOWN's positioning is built for both paths: CVX, VLO, and OKE for sustained disruption; GD and LMT for escalation; the broader portfolio for eventual normalization. **Think Like an Owner**—we are positioned through the event, not around it.

2. Bitcoin broke $70,000 over the weekend. BTC dropped to $68,014 after the $1.9B options expiry. The crypto Fear & Greed index has been in extreme fear for 46 consecutive days. IBIT, ETHA, COIN, HUT, and MARA face gap-down risk at today's open. Glassnode on-chain data suggests purchasing BTC when the Fear & Greed index drops below 25 has historically produced an average 30-day return of approximately 18%. The sleeve is sized for this volatility, but sustained weakness below $68,000 would warrant reassessment.

3. Flash PMIs this week provide the first hard read on the war's economic impact. Eurozone and UK flash PMIs arrive Tuesday; US flash PMIs on Wednesday. February's US composite reading slowed to 51.9—the softest in ten months—before the conflict began. If March services PMI dips below 50, the stagflation narrative intensifies. KB Home reports Q1 earnings Tuesday after close, with analysts expecting a 65% EPS decline amid rate headwinds—a read-through to TOL positioning. **Research Reveals Opportunities.**

4. Iran's Treasury threat introduces financial warfare risk. Ghalibaf's warning that US Treasury buyers could be considered targets may lack operational teeth, but Gulf sovereign wealth funds hold hundreds of billions in Treasurys. Even marginal reallocation could pressure the long end when the Fed is already signaling no easing. If 10-year yields rise on both inflation expectations and reduced foreign demand, the equity risk premium compresses further. **Simplicity Over Complexity**—the bond market is the second front.

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